

"Be yourself.
Everyone else is already taken."
- Oscar Wilde

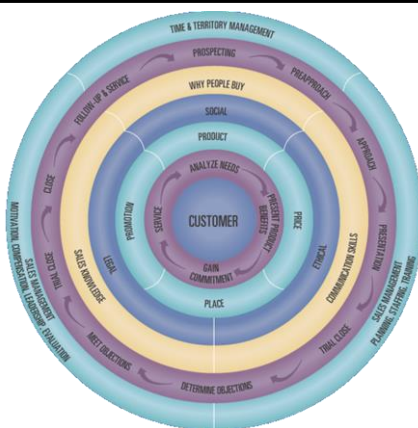
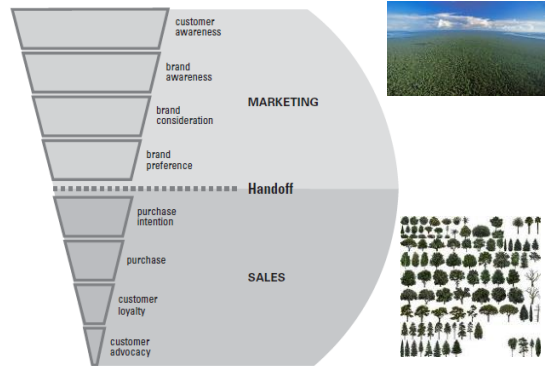
Strategic Selling Concepts



Department of Management Studies
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LPS

Marketing Vs. Sales



Barriers To Communication Which May Kill a Sale

- Differences in perception
 - Buyer does not recognize need
 - Selling pressure
 - Information overload
 - Disorganized sales presentations
 - Distractions
 - Poor listening
 - How and what you say
 - Not adapting to buyer's style



Master Persuasive Communication

- ❑ Listen to words, feelings, and thoughts
- ❑ Three levels of listening
 - Marginal listening
 - Evaluative listening
 - Active listening
- ❑ Technology helps to remember
 - Mobile phone, iPad, GIS, CRM...



The development of the selling function

1. Pure Transaction

Since time began, Pure transaction is effectively one step removed from stone-age barter.



- ❑ Standard *commoditised* products, price and reliability
- ❑ Business: *spasmodic*, hand-to-mouth and unpredictable.
- ❑ Purely transaction, *no relationship*.

2. Relationship and Trust

Since the beginning of selling as a profession, popularised by Dale Carnegie, among others (early 1900s)



- ❑ Continuity, consistency, sustainability, and some *understanding of the customer's real issues*
- ❑ Benefits to customer: *Intangibles* such as continuity on communications and contacts, matched styles of trading, mutual flexibility and adaptability.

The development of the selling function

3. Management and Information

Operated instinctively in isolated examples in business relationships for centuries, but not generally seen in selling methodology, sales training and strategic application until the 1960s-1970s.



- ❑ Enhance depth and effectiveness of selling relationships through *info exchange* and cooperation.
- ❑ Intangible benefits of *cooperation* to improve the customer's own competitive strengths and operating efficiencies.
- ❑ The *supplier is seen as part of the team*, involved in some of the customer's own internal systems, meetings, planning, etc.

The development of the selling function

4. Partnership

A sophisticated open approach to selling which mainly first developed in the 1980s, probably in response to the increasing complexity of business relationships, technology, global markets, etc., and the increasingly fast pace of change.

Organizations could be more effective and adaptable by devolving operating responsibilities to suppliers.



- ❑ The supplier is virtually part of the customer's organization - activities of the buying and selling organization become almost *seamless*.
- ❑ 'Outsourcing' generally requires this degree of *collaboration*, involving a level of anticipation, innovation and integrated support that is very difficult to un-pick, even if it were in the customer's interests to do so.
- ❑ Partnership level selling is *not a legal or contractual arrangement*; it describes the relationship, which operates virtually as a formal partnership would do.

The development of the selling function

5. Education and Enablement

2000 and beyond. The dimensions, scope and impact of this new type of selling are not yet fully developed and defined.

There are signs however that the sellers who can give most to their customers - especially in areas that the customers didn't even know they had a need or an opportunity - will be the most successful.



- ❑ The seller gives to the customer any and all help it can reasonably offer as might *improve the customer's understanding*, interpretation and commercial development of issues relating to the supply area.
- ❑ Sellers and selling organizations take the role of teacher, guide, mentor, enabler; which can help customers far *beyond commercial and financial outcomes*, into previously unimagined strategic business development and considerable change.

The Nine Steps of Selling



Strategic Selling: Six Key Elements

1. Buying Influences
2. Red Flags / Leverage from Strength
3. Response Modes
4. Win-Results
5. Ideal Customer Profile
6. Sales Funnel

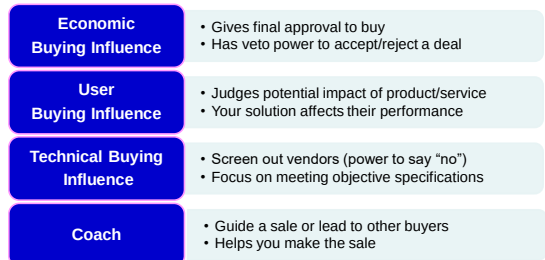


Robert Miller

**MILLER
HEIMAN®**
The Sales Performance Company

Buying Influences

Key Element #1



Buying Influences Key Element #1

5 Critical Factors of Influence

- ❑ **Organizational impact**
 - Where does your proposal impact?
- ❑ **Level of expertise**
 - Which buying influence is most knowledgeable?
- ❑ **Location**
 - Where is your buying location sitting?
- ❑ **Personal priority**
 - Who will be affected positively the most personally?
- ❑ **Politics**
 - How does internal politics affect the sale?

Buying Influences Chart

Economic (Releases \$\$)	User (Judges job impact)
Douglas M Doris H	Barnes H Green H
Technical (Screens out)	Coach (Guides me on sale)
Larry L Bob M	John M Kelly H

H: High; M: Medium; L: Low

Red Flags/Leverage from Strengths Key Element #2

Red Flags help you to identify your positioning difficulties with precision before they throw your business in the competition's lap.

- ❑ A red flag means warning or danger – not 'minor annoyances', but hazards that can jeopardize the sale
- ❑ They are positive because they help you identify trouble before it finds you.

When you lever from a strength, you highlight areas that differentiate you from the competition as a way of offsetting or minimizing threats to your strategic position.

Red Flags/Leverage from Strengths Key Element #2

Red Flags

- 🔪 Critical Info missing
- 🔪 Uncertainty about info
- 🔪 Uncontacted buying influence
- 🔪 Buying influences new to the job
- 🔪 Reorganization

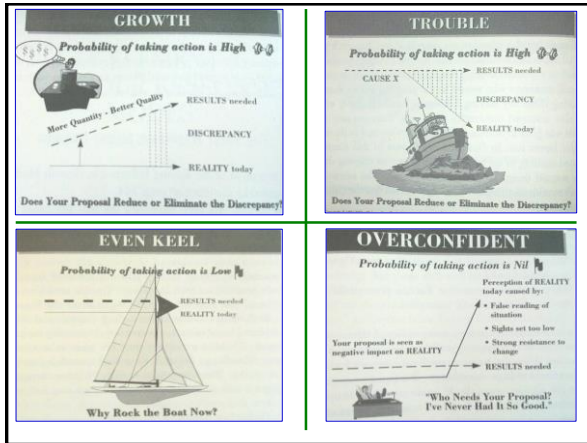
Strengths

- ✔ Areas of differentiation
- ✔ Oppty that improves your position
- ✔ Relevant to current sales objective
- ✔ Diminish importance of price competition

Response Modes Key Element #3

Buyer's perception of "discrepancy" between current reality and results needed.
Buyer's receptivity to change has a bearing on your selling proposition.

Growth	• To increase quantity and/or improve quality. • Solution to bridge the performance gap.
Trouble	• Biz on downside owing to environment change. • Solution to eliminate/mitigate the problem.
Even Keel	• Perfectly satisfied with the status quo. • No incentive to change (no sense of urgency).
Overconfident	• Reality is better than any hoped-for results. • Totally unreceptive to change (wait-and-watch).



Key Element #3

Response Modes					
RATINGS					
+5 Enthusiastic Advocate +4 Strongly Supportive +3 Supportive +2 Interested +1 Will Go Along -1 Probably Won't Resist -2 Uninterested -3 Negative -4 Very Negative -5 Antagonistic Antisponsor	<table border="1"> <tr> <td> Economic (Releases \$\$) Douglas M G Doris H </td> <td> User (Judges job impact) Barnes H G +2 Green H EK -1 </td> </tr> <tr> <td> Technical (Screens out) Larry L T -4 Bob M OC -3 </td> <td> Coach (Guides me on sale) John M G +3 Kelly H T +4 </td> </tr> </table> H:High; M: Medium; L:Low G:Growth; T: Trouble; EK: Even Keel; OC: Over Confident	Economic (Releases \$\$) Douglas M G Doris H	User (Judges job impact) Barnes H G +2 Green H EK -1	Technical (Screens out) Larry L T -4 Bob M OC -3	Coach (Guides me on sale) John M G +3 Kelly H T +4
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Key Element #4

Win-Results

Sample Wins	Sample Results	
➤ Remain in power ➤ Get more freedom ➤ Improve social status ➤ Increase self-esteem ➤ Gain recognition ➤ Be seen as a leader ➤ Maintain work-life balance ➤ Increase growth potential ➤ Contribute to company ➤ Increase authority ➤ Be more flexible ➤ Be change instrument ➤ Feel more secure ➤ Pay a debt	Economic ☐ Low TCO ☐ Good budget fit ☐ ROI ☐ Productivity ☐ Profitability	User ☐ Reliability ☐ Increased efficiency ☐ Fulfill performance ☐ Do job better ☐ Upgrade skills
	Technical ☐ Meeting tech specs ☐ Timely delivery ☐ Best solution ☐ Discounts/low bids ☐ Pricing	Coach ☐ Recognition ☐ Visibility ☐ Problem solver status ☐ Make contribution ☐ Ego satisfaction

Ideal Customer Profile

Key Element #5

WORST CUSTOMER!

- ☹ Longer sales cycle
- ☹ Harder to manage relationship
- ☹ Low margin business
- ☹ No Reference-ability
- ☹ No referrals
- ☹ A source of frustration
- ☹ No repeat business

BEST CUSTOMER!

- ☺ Trusts my company's performance
- ☺ Innovative, progressive management
- ☺ Loyal to selected vendors
- ☺ Committed to quality
- ☺ Pays for value-added services
- ☺ Has business ethics and integrity
- ☺ Win-win relationship on every sale

Sales Funnel

Key Element #6

- 🔍 Sales Funnel allows you to manage sales pipeline efficiently
- 🔍 Facilitates better understanding of the buying cycle
- 🔍 Enables better management of selling time and effort
- 🔍 Improve sales productivity by priority setting
- 🔍 Forecast future income

Sales Funnel

Key Element #6



Account Plan (Template)



Sales Models

CLOSING SALES MODEL

- Concentrated on the product (in high-pressure sales) and its key elements are:
- Presentation Skills; Trial Closing; Overcoming Objections; Final Close.

PRODUCT/SERVICE PUSHING

- The salesperson is tenacious, persistent and usually has a low-cost item and works on a numbers game. The natural born salesperson enjoys interfacing with people and usually has an engaging personality.

RELATIONSHIP SALES MODEL

- The salesperson builds a relationship, over time, with repeated visits.
- The buyer and seller get to know each other on a personal and professional level.

PROBLEM-SOLVING SALES MODEL

- Open-ended questions: Role-playing is used to understand how to get clients or prospects to talk about the things that are important to them.
- Closed-ended questions: These require a yes or no response. Listening skills is a key component. The salesperson takes the information and then presents solutions.

Sales Models (contd.)

VALUE ADD SALES MODEL

- Price objections raised by the "Problem-Solving Sales Model" can be countered by adding additional services. In this way, adding these services to the base product/service gives a perception of the value received versus the price.

CONSULTATIVE SALES MODEL

- Determines how to lower the clients costs and/or increase the client's revenues.
- The company requires a depth of understanding of their clients' business, as well as a solid track record in delivering proven results.

PARTNERING

- Building a joint plan for creating an opportunity. The sale is conducted at the highest level of the company and an output is a business plan targeted at a niche within the clients' market.

TEAM SELLING MODEL

- The salesperson must coordinate all of the activities within the organization and external to the organization, in order to win the business.

COMPLEX SALES MODEL

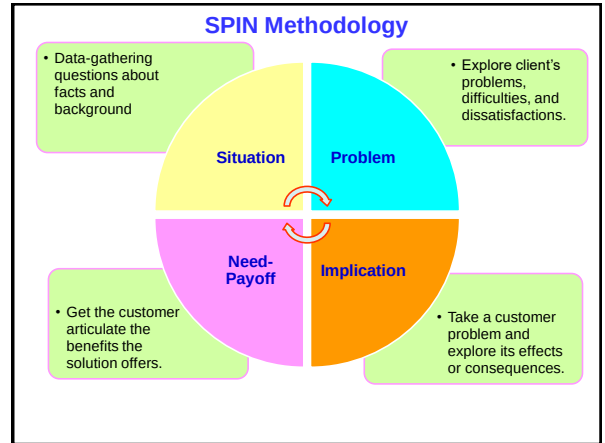
- Large ticket sales; Multiple decision makers; Extensive coordination, both internal and external; Long lead times

New Types of Competition

- Buy from someone else
- Use internal resources
- Use budget for something else
- Do nothing



Business Development & Selling Skills



Situation Questions

SITUATION QUESTIONS	Definition	Finding out facts about the buyer's existing situation
	Examples	<i>How many people do you employ at this location?</i> <i>How do you measure quality?</i>
	Impact	Least powerful of the SPIN questions Negative relationship to success. Most people ask too many.
	Advice	Eliminate unnecessary Situation Questions by doing your homework in advance.

Situation Questions

Personal:
What's your position?
How long have you been here?
What do you see as your objectives in this area?

Organizational:
What sort of business do you run?
What's your annual sales volume?
How many people do you employ?

Technical:
What equipment are you using at present?
How long have you had it?
Is it purchased or leased?
How many people use it?

- ❑ Situation Questions are not positively related to success. In calls that succeed, sellers ask fewer Situation Questions than in calls that fail.
- ❑ Inexperienced salespeople ask more Situation Questions than do those who have longer sales experience.
- ❑ Situation Questions are an essential part of questioning, but they must be used carefully.
- ❑ Successful salespeople ask fewer Situation Questions. Each one they ask has a focus, or purpose.
- ❑ Buyers quickly become bored or impatient if asked too many Situation Questions.

Problem Questions

PROBLEM QUESTIONS	Definition	Asking about problems, difficulties or dissatisfactions that the buyer is experiencing with the existing situation.
	Examples	<i>What prevents you from achieving that objective? How does it affect your quality or rejection rate?</i>
	Impact	More powerful than Situation Questions. People ask more Problem Questions as they become more experienced at selling.
	Advice	Think of your products in terms of the problems they solve for buyers – not in terms of the details or characteristics that your product possesses.

Problem Questions

Typical Questions:

- Are you satisfied with your present equipment?
- What are the disadvantages of the way you're handling this now?
- Isn't it difficult to process peak loads with your present system?
- Does this old machine give you reliability problems?

- ❑ Problem Questions are more strongly linked to sales success than Situation Questions are.
- ❑ In smaller sales the link is very strong: the more Problem Questions the seller asks, the greater the chances that the call will be successful.
- ❑ In larger sales, however, Problem Questions are not strongly linked to sales success.

Implication Questions

IMPLICATION QUESTIONS	Definition	Asking about the consequences or effects of a buyer's problems, difficulties, or dissatisfactions.
	Examples	<i>What effect does that problem have on output? Could that lead to added costs?</i>
	Impact	The most powerful of all the SPIN questions. Top salespeople ask lots of implication questions.
	Advice	These questions are the hardest to ask. Plan them carefully and rehearse well.

Implication Questions

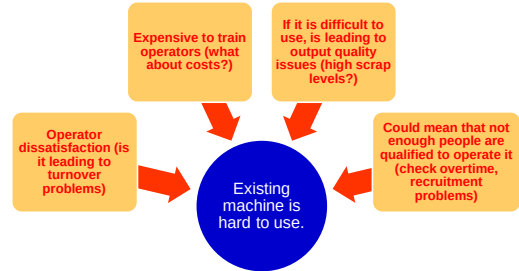
- ❑ The main power of Implication Questions is in larger sales where it's necessary to increase the size of the problem in the customer's mind.
- ❑ Implication Questions are especially powerful in selling to decision makers.
- ❑ It's often possible to achieve a positive outcome from calls on users or influencers simply by asking Problem Questions..
- ❑ Despite their selling power, Implication Questions have a weakness as they tend to make customers more uncomfortable with problems. Sellers who ask lots of Implication Questions may make their buyers feel negative or depressed.

Implication Questions

Problem Where You Have a Superior Solution	Assume the Customer says: "Sure but it is not worth the cost and hassle." Why is the Customer Wrong?
Our Design Software allows you to make design revisions much faster than you can with your existing design process.	• <i>Design revisions are the main cause of slowdowns in the product development cycle, so that new products come to market late.</i> • <i>In today's competitive world a late product is a dead product.</i> • <i>The longer it takes to make revisions, the greater the overall design cost.</i> • <i>Competitor's with shorter design cycles will eat your lunch.</i> • <i>Your best designers won't stick around if you can't provide them with the state-of-the-art tools they expect.</i>

Planning Implication Questions

1. Write down a potential problem the customer is likely to have.
2. Then ask yourself what related difficulties this problem might lead to. Think of these difficulties as the implications of the problem - and be especially alert for those implications which reveal the problem to be more severe than it may originally have seemed.
3. For each difficulty, write down the questions it suggests.



Need-Payoff Questions

NEED-PAYOFF QUESTIONS	Definition	Asking about the value or usefulness of a proposed solution.
	Examples	<i>How would a quieter printer help?</i> <i>If we did that, how much could you save?</i>
	Impact	Versatile questions used a great deal by top salespeople. Positive impact on customers who rate calls high in Need-Payoff Questions as helpful and constructive.
	Advice	Use these questions to get buyers to tell you the benefits that your solution can offer.

Need-Payoff Questions

Basically, they ask about the value or usefulness of solving a problem.

Typical examples:

- Is it important to you to solve this problem?
- Why would you find this solution so useful?
- Is there any other way this could help you?

Psychology of Need-payoff Questions:

1. They focus the customer's attention on the *solution rather than on the problem*. This helps create a positive problem-solving atmosphere where attention is given to solutions and actions, not just problems and difficulties.
2. They get the customer telling you *the benefits*.

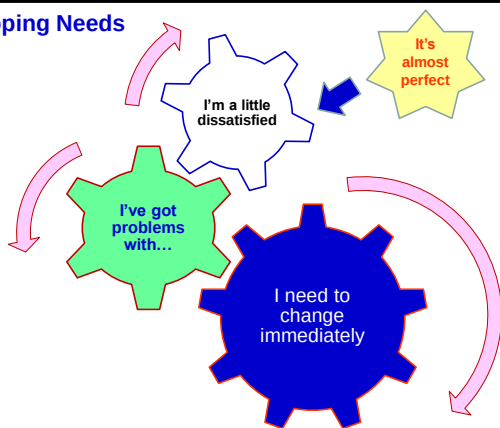
Need-Payoff Questions

Potential Benefits Your Product Offers	Need-Payoff Question To Get the Buyer To Tell You the Benefit
Our system is easy to use	What advantages would you see from a system that could be used by untrained operators?
There's a very short set-up time	If you cut your present set-up time by half, what would that do to your output?
We have attractive leasing terms	Would it help your cash position if you could get a new system without paying capital costs?
And we offer on-line diagnostics	How would it help to have on-line diagnostics?

Evolution of needs

- ❑ Needs take longer to develop.
- ❑ Needs are likely to involve elements, influences, and inputs from several people, not just the wishes of a single individual.
- ❑ Needs are more likely to be expressed on a rational basis, and even if the customer's underlying motivation is emotional or irrational, the need will usually require a rational justification.
- ❑ A purchasing decision that doesn't adequately meet needs is likely to have more serious consequences for the decision maker.

Developing Needs



Unaware

IMPLIED NEEDS

Problems
Difficulties
Dissatisfactions

EXPLICIT NEEDS

Strong Wants
Or Desires

Implied and Explicit Needs

Implied Needs

Statements by the customer of problems, difficulties, and dissatisfactions.

Typical examples:

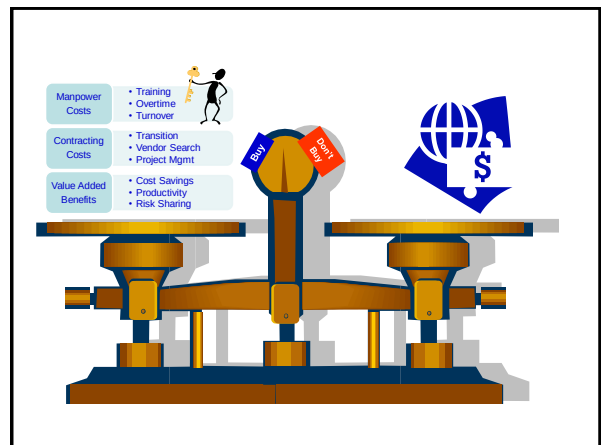
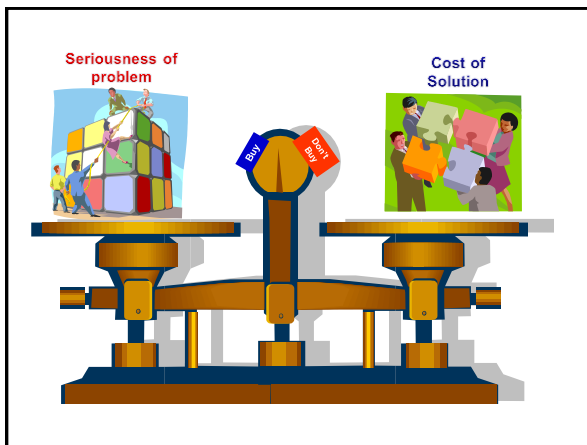
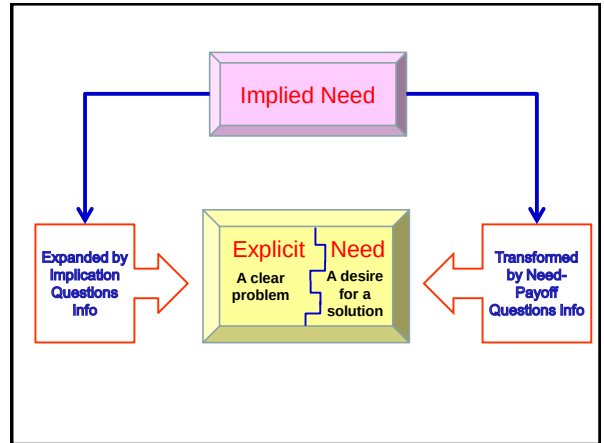
- "Our present system can't cope with the throughput,"
- "I'm unhappy about wastage rates,"
- "We're not satisfied with the speed of our existing process."

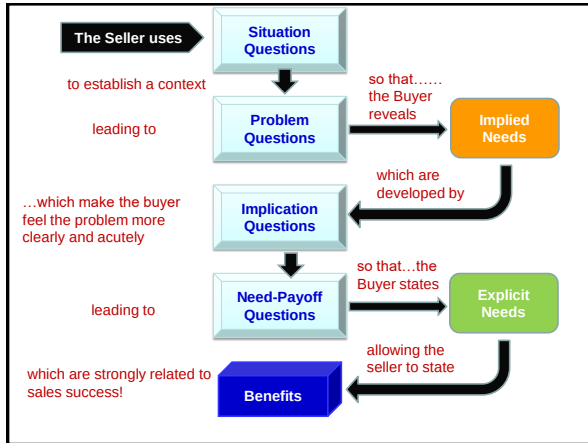
Explicit Needs

Specific customer statements of wants or desires.

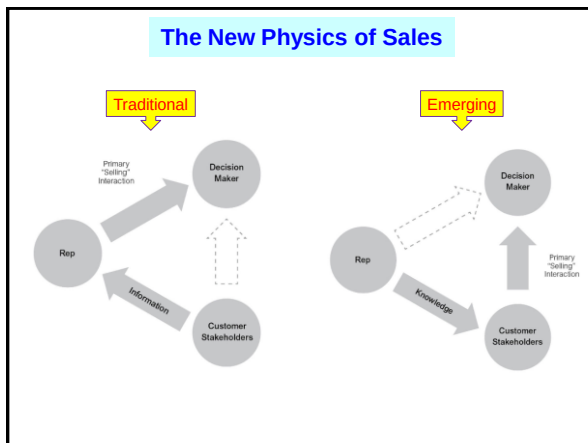
Typical examples:

- "We need a faster system,"
- "What we're looking for is a more reliable machine,"
- "I'd like to have a backup capability."





A New Selling Guide	
Solution Selling	Insight Selling
What kind of company to target Organizations that have a clear vision and established demands	Agile organizations that have emerging demands or are in a state of flux
What sort of initial information to gather What need is the customer seeking to address?	What unrecognized need does the customer have?
When to engage After the customer has identified a problem the supplier can solve	Before the customer has pinpointed a problem
How to begin the conversation Ask questions about the customer's need and look for a "hook" for your solution	Offer provocative insights about what the customer should do
How to direct the flow of information Ask questions so that the customer can steer you through its purchasing process	Coach the customer about how to buy, and support it throughout the process



The Five Sales Rep Profiles

THE HARD WORKER (21% OF SAMPLE)

- Always willing to go the extra mile
- Doesn't give up easily
- Self-motivated
- Interested in feedback and development

THE CHALLENGER (27% OF SAMPLE)

- Always has a different view of the world
- Understands the customer's business
- Loves to debate
- Pushes the customer

THE RELATIONSHIP BUILDER (21% OF SAMPLE)

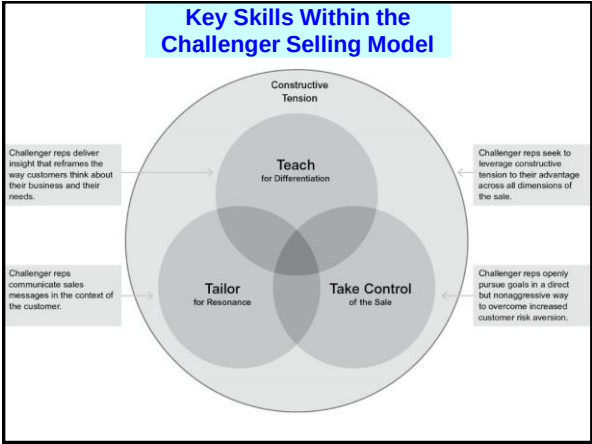
- Builds strong advocates in customer organization
- Generous in giving time to help others
- Gets along with everyone

THE LONE WOLF (18% OF SAMPLE)

- Follows own instincts
- Self-assured
- Difficult to control

THE REACTIVE PROBLEM SOLVER (14% OF SAMPLE)

- Reliably responds to internal and external stakeholders
- Ensures that all problems are solved
- Detail-oriented



*"Retention is for wimps.
We measure the percent of customers
who have our name tattooed on one of their body parts."
- Harley Davidson annual report*

THE NEW STRATEGIC SELLING
THE UNIQUE SALES SYSTEM
PROVEN SUCCESSFUL BY THE
WORLD'S BEST COMPANIES
ROBERT B. MILLER
AND STEPHEN E. HEIMAN
WITH TAD YALOW
FOREWORD BY J. W. MARSHOFF, JR.,
CHAIRMAN AND CEO, MARSHOFF INTERNATIONAL, INC.

SPIN SELLING
NEIL RACKHAM
THE BEST VALIDATED SALES
METHOD AVAILABLE TODAY
DEVELOPED FROM RESEARCH
STUDIES OF 30,000 SALES
CALLS USED BY THE TOP
SALES FORCES ACROSS
THE WORLD

The CHALLENGER SALE
Matthew Dixon and Brent Adamson
Taking Control of the
Customer Conversation
The most powerful reason to disrupt the status quo